MODULE 02 · CASE STUDY 5 · PRE-READ FOR CLASS 5

Faster Horses

The most quoted sentence in business is fake — and the lesson everyone draws from it is backwards

READ THIS BEFORE CLASS

This case is your preparation for the next session. Read it once, slowly, with a pen. You are not expected to arrive with answers — you are expected to arrive with four stories in your head and a few opinions you are willing to defend out loud.

There is nothing to memorise here. No definitions, no frameworks, no terms that will be tested. Just a car factory, a packet of noodles, a deodorant can, a bag of detergent, and the numbers those decisions produced. We will build the ideas together in class, out of this story.

15–20	8	5
Minutes to read	Sections	Questions to bring

Zenith School of AI · Customer Discovery · Semester 1

THE CASE

Faster Horses

One American car factory, one 1950 experiment, and three products almost certainly in your house right now

READING TIME: 15–20 minutes

HOW TO READ THIS CASE

This case has two halves that look unrelated and are the same story. The first is about an American car factory a hundred years ago and one sentence Henry Ford probably never said. The second is about a packet of instant noodles, a deodorant can and a bag of detergent.

In every one of these stories, customers were asked a direct question and gave an honest, sensible, cooperative answer — and the business that won was not the one that built what they asked for. Keep one deliberately awkward question running as you read: **if the answer they gave was true, why was it so useless?** Do not memorise the companies. Watch for the thing that repeats.

One warning: parts of this will make you uncomfortable, because the honest reasons people buy things are rarely flattering.

1 The Sentence That Gave a Generation Permission to Stop Listening

Spend a month around startups and you will hear this sentence: 'If I had asked people what they wanted, they would have said faster horses.' It is attributed to Henry Ford, the man who put the automobile within reach of ordinary families. It gets said in pitch meetings, printed on office walls, and used to make exactly one argument — customers do not know what they want, so talking to them wastes a visionary founder's time.

There are two problems with that.

The first: Ford does not appear to have said it. Researchers have looked — through his two books, *My Life and Work* (1922) and *Today and Tomorrow* (1926), through his interviews, through the company's archives — and nobody has produced a primary source. The line does not appear in print until decades after his death in 1947, and becomes common only in the 2000s, in business books each citing the previous one. Writing in the *Harvard Business Review* in 2011, Patrick Vlaskovits traced the trail and found no evidence Ford said or wrote it.

The second problem matters even if he had said it word for word: the lesson people draw from it is the opposite of what Ford actually did.

He did not ignore customers. He was obsessive about one — the American farmer — to a degree that would look extreme today. He had grown up on a Michigan farm and knew that the roads outside cities were rutted dirt tracks that turned to mud for months, so the Model T was given unusually high ground clearance. He knew farmers had no mechanic and no garage within reach, so the car was designed to be repaired with the toolkit that came with it. And he attacked the price for sixteen years without stopping.

YEAR	WHAT HAPPENED TO THE PRICE OF A MODEL T
1908	Launched at $850 — roughly two years of an average worker's income.
1912	Down to about $600.
1917	Under $400.
1914	Factory wage doubled to $5 a day. Ford said publicly that the men building the cars ought to be able to buy them.
Mid-1920s	Roughly $260 to $290. The same car, at about a third of the launch price, after sixteen years of work.
1908–1927	Around 15 million Model Ts sold. At the peak, more than half the cars on earth were Model Ts.

That is not the record of a man who thought his customer was irrelevant. It is the record of a man who had worked out what his customer needed — cheap, rugged, self-repairable mobility — rather than what his customer, in 1900, was able to ask for.

2 The Half of the Ford Story Nobody Quotes

Hold on to this next part, because the discussion returns to it.

By the early 1920s, Ford's customers were no longer inarticulate farmers who had never seen an automobile. They had owned cars for a decade, and they were asking out loud, clearly and repeatedly, for things: colours other than black, closed cabins so you could drive in winter without freezing, and a new model every year. These were plainly stated requests from people who knew exactly what they were talking about.

Ford refused, for years. General Motors did not, and Chevrolet took his market.

So the man held up as proof that you should ignore customers won by hearing a need nobody could put into words, and then nearly lost the company by refusing to hear the ones stated plainly to his face. Both halves are the same man, roughly fifteen years apart.

> **WORTH PAUSING ON**
>
> Knock on a farmer's door in 1900 with a clipboard and he will talk about his horse — a stronger one, a cheaper one, one that eats less and does not go lame in winter. As a product specification that is useless. As evidence it is completely reliable.
>
> Before you read on, try to write the farmer's answer out as a sentence with no horse in it. What is he actually describing?

3 1950: Two Shopping Lists

Here is the cleanest evidence in the whole case, and it comes from an experiment run seventy-five years ago.

Instant coffee had just arrived in the United States and was selling badly. Asked why they were not buying it, women answered consistently and without hesitation: they did not like the flavour. Every survey said the same thing. The

obvious response — and the expensive one — was to improve the taste.

A researcher named Mason Haire doubted the answer, so he stopped asking the question. He wrote out two shopping lists, identical in every respect except one item. One list included a tin of Nescafé instant coffee; the other, the same quantity of ground coffee. He then showed one list each to two matched groups of women and asked them a question that had nothing to do with coffee: **describe the personality of the housewife who wrote this list.**

The woman with instant coffee on her list was described as lazy, a poor planner, a bad wife and a worse homemaker. The woman with ground coffee was described as thrifty and organised. Same list. One item different.

> *In 1950, serving instant coffee implied you did not care enough about your family to spend twenty minutes brewing properly. You could have improved that coffee's flavour forever and sold nothing.*

What eventually moved the category was not a better bean. It was advertising that made instant coffee the smart, modern choice of a competent woman — aimed squarely at something no customer in any survey had ever mentioned, and which most of them would have denied if it had been put to them directly.

4 Maggi: The Two Minutes Were Never About Speed

Nestlé launched Maggi 2-Minute Noodles in India in 1983, into a country with no wheat-noodle habit, no such category on the shelf and no reference price. The product fit no existing Indian meal.

Its early research asked mothers what they wanted to feed their children. Every mother gave a version of the same answer: nutritious food, healthy food, home-cooked food, balanced meals. True as a statement of values, socially unimpeachable, and — as a brief for what to build — almost worthless. The first positioning used the nearest sensible idea, convenience for the busy working mother. It performed. It did not explode.

What changed the business was noticing a moment rather than collecting an opinion.

There is a window in an Indian household roughly between 4pm and 7pm. School is over. Dinner is hours away. The child is hungry, loud and specific about it. The mother is either mid-way through cooking the evening meal or has not started it. Whatever she produces in that window has to be hot, has to arrive fast, and — the part that matters most — has to be eaten without a fight. A plate of fruit is nutritionally superior and gets refused. Refusal means wasted food, a child hungry again in an hour, and a mother who has failed at the one task she cannot hand to anybody else.

Maggi's product and its advertising were both built for that window rather than for the answer the mothers had given. The two-minute promise was not really a claim about kitchen efficiency. And the advertising was aimed at children, not at mothers — 'Mummy bhookh lagi', answered with 'Bas do minute' — which sounds like a media-buying decision and is actually a decision about customers. Nestlé had worked out that the child generated the demand and the mother approved it, and that her approval was never going to be won with a nutrition argument.

The economics worked because the product was cheap to make and priced against something that felt urgent. Treat these as illustrative rather than audited: a 70g cake with its masala sachet retails around ₹14; the raw materials — maida, palm oil, spice mix, packaging — sit near ₹6 to ₹7. That is a **gross margin** of around 50% — gross margin being revenue minus the direct cost of making the thing, expressed as a percentage of revenue. It is not profit; the remaining ₹50 out of every ₹100 still has to pay for advertising, distribution to millions of tiny outlets, overheads and everything else.

The most instructive part of the Maggi story is the disaster.

In June 2015, Indian food regulators ordered Maggi off the shelves over alleged excess lead and MSG labelling issues. Nestlé India destroyed a reported ₹450 crore of inventory, posted its first quarterly loss in about three decades, and watched a brand holding roughly three-quarters of the instant-noodle market go to zero national sales in a matter of weeks. The courts cleared it, the product returned in late 2015, and within about eighteen months it was back to majority share.

> **HOLD THIS THOUGHT**
>
> The public conversation for six months had been about lead in the noodles. Nutrition was precisely the argument Maggi had lost. So ask yourself, before class: what brought millions of households back within eighteen months, if it was not the nutrition case?
>
> Nestlé's own comeback campaign was, in essence, 'We miss you too.' That is a strange thing to say about a snack.

5 Fogg: The Behaviour the Whole Industry Looked Past

Around 2011 the Indian deodorant market was a shouting match. Axe, Wild Stone, Set Wet, Park Avenue, Denver and a dozen others were spending heavily to make the same two claims in slightly different voices: this smells good, and it lasts a long time. Every research report said the same thing, because customers did — consumers want long-lasting fragrance and a fresh feeling. Unanimous, accurate, and no use to anyone.

Darshan Patel was not a newcomer to any of this. He was part of the family behind Paras Pharmaceuticals — the company that built Moov, D'Cold, Set Wet and Livon, sold in stages to Reckitt Benckiser around 2010 in a transaction reported at roughly ₹3,260 crore. Decades in Indian mass-market consumer goods had taught him to watch how Indians actually use products rather than how they describe using them. He started Vini Cosmetics in 2010 and launched Fogg in 2011.

The insight did not come from a focus group. It came from a behaviour so ordinary that the entire industry had looked straight past it: **people shake the can.** They shake it next to their ear, judge the sloshing, and conclude it is almost finished — often weeks after buying it. Many complained, in the loose way people complain to each other rather than to companies, that deodorant 'gets over too quickly'. Nobody had labelled this a problem, because it was not a problem with the fragrance, and the fragrance was the only thing anyone was measuring.

Fogg's answer was a compressed formulation with no propellant gas, sold with a claim so blunt it barely sounds like advertising: *no gas, only perfume*. The can delivered far more sprays — the brand advertised figures in the region of 800 — and carried the spray count on the pack like a specification. Then came the line that ran for years: *Kya chal raha hai? Fogg chal raha hai*. What is running? Fogg is running. Not a claim about how it smells. A claim about the can still working.

The result was one of the fastest brand inversions in modern Indian FMCG.

FOGG, IN FIGURES	WHAT HAPPENED
4–5 years	Time taken to displace far better-funded multinational brands and become India's largest-selling deodorant.
~₹1,000 crore	Reported revenue for Vini Cosmetics by around 2019–20 — a company that did not exist in 2009.
~₹2,675 crore	Reported price paid by private equity firm Advent International in 2020 for a large minority stake.
~₹9,000 crore	The valuation that deal implied.
₹250 / ₹70–90	Roughly the retail price of a can, and roughly its direct cost — concentrate, can, valve, filling, packaging. A gross margin somewhere in the 60% to 70% region, which is typical of the category.

Read that last row carefully, because it rules out the easy explanation. Fogg's advantage was never cost. Everybody in the category had similar margins. It charged a normal price for a product that answered a question its competitors had not noticed being asked.

6 Surf Excel: A Detergent Brand Says Stains Are Good

Detergent is the most functionally described category in India. For decades every brand made one promise in a slightly different voice: this removes stains. Ask a mother what she wants from a detergent and she will tell you, accurately: remove tough stains, do not damage the cloth, do not be expensive. The same answer, in unison, across an entire market, for a generation.

In 2005, Hindustan Unilever launched a campaign for Surf Excel, developed with the agency Lowe Lintas, built on a sentence that looks like an own goal: **Daag Achhe Hain.** Stains are good. A detergent brand had publicly announced that the thing it is hired to destroy is desirable.

The insight was not about cloth at all. It was about a small, daily, invisible conflict inside the mother's day.

Her child comes home filthy — from a puddle, a cricket match, a fight, or from helping somebody. Her immediate reaction, produced by the plain fact that she is the person who will do the washing, is to scold. Then she feels bad about scolding, because she knows the mud came from her child playing, exploring, or doing something decent. She is caught between two things she genuinely wants: a child who plays freely, and clothes that are not ruined. Every detergent in India sold to the second want. None of them had noticed the first, or that this small conflict was making her feel like a slightly worse mother several times a week.

Now look at the price ladder that the campaign made possible, because it shows in rupees what the idea was worth.

ROUGHLY, PER KILO	WHAT IT COMPETES ON
₹40–60 · Nirma	Economy powder. Competes on price, and only on price.
₹60–80 · Wheel	A mass brand competing on performance.
₹120–250 · Surf Excel	From about ₹120 a kilo to well over ₹200 for premium liquid formats.

All of them remove stains. Surf Excel became one of HUL's largest brands, and 'Daag Achhe Hain' has run in one form or another for close to two decades — which is the real evidence that this was something structural rather than a clever advertisement. Campaigns of the first kind get replaced every two years, because a competitor turns up and makes a bigger claim about stain removal. This one did not.

7 The Numbers, Side by Side

Insight stories are easy to tell after the fact, so here is the same case in figures. Read the table as approximate and directional — public numbers for FMCG brands are reported in ranges and move year to year — but the relationships between the numbers are robust.

	MAGGI (NESTLÉ INDIA)	FOGG (VINI COSMETICS)	SURF EXCEL (HUL)
What customers said they wanted	Nutritious food for my child	Long-lasting fragrance	Removes the toughest stains
Typical price	About ₹14 for a 70g cake	About ₹220–₹250 a can	About ₹120–₹250 a kg
Approx. gross margin	Around 50% (₹6–₹7 direct cost)	Around 60–70% (₹70–₹90 direct cost)	Around 45–55% across the range
Scale achieved	About three-quarters of the instant-noodle market pre-2015; back to majority share 18 months after the ban	India's largest-selling deodorant in about 4–5 years; 2020 stake sale implied a valuation near ₹9,000 crore	One of HUL's largest brands; the campaign has run close to two decades

Two things in that table are worth saying out loud.

First, look along the gross margin row. All three sit in broadly the same range as their competitors. Whatever these companies found, it bought them no cost advantage at all. What it bought was the ability to charge a normal-to-premium price in a market where the alternative was a price war, and to hold that price for years.

Second, compare each price with the cheapest option that does the same physical thing. A mother can produce something hot for less than ₹14. A kilo of Wheel washes clothes for a third of Surf Excel's price. A ₹150 deodorant smells much the same as a ₹250 one. In every case the customer pays more, and the extra rupees buy something they would not name if you asked them.

And notice how cheap all three discoveries were. Nestlé did not need a laboratory to find the 4pm-to-7pm window; it needed somebody to sit in a household at 5pm. Darshan Patel did not need a research budget to notice men shaking cans; he needed to be the kind of person who notices. The scolding behind 'Daag Achhe Hain' had been happening in every house in India, in full view, for decades. Whatever it is these companies found, it was not locked behind money or technology.

8 The Question This Case Sets Up

In all four stories, somebody asked customers a direct question and got a straight answer. Farmers described a better horse. Women said the coffee tasted bad. Mothers said nutritious food. Men said long-lasting fragrance. Mothers said tough stains.

Not one of those answers was a lie. Every one of them was true. And a company that built exactly what was asked for would, in every single case, have built the same thing as everybody else — and lost.

So the question we open the class with is not 'how do you find a good insight'. It is narrower and much more uncomfortable:

> *If the customer's answer was honest, accurate, and freely given — what exactly was missing from it? And if you cannot get that missing thing by asking, how on earth are you supposed to get it?*

BEFORE YOU COME TO CLASS

HOW TO USE THIS PAGE

Spend fifteen minutes on these. Write your answers down — a line or two each is enough. They will not be collected or graded, but you will be asked for them in the room, and 'I didn't think about it' is a much worse position to be in than a wrong answer.

There are no model answers at the back of this document. That is deliberate.

1. **Before you read any further, answer this in one line and do not think about it too hard: what do you want from a phone?** Write your answer down exactly as it comes out. Bring the piece of paper. We will use what you wrote in the first five minutes of class, and the point of writing it now is that you cannot edit it later.

2. **The farmer in 1900 said he wanted a better horse.** Write out what he was actually describing as one sentence that contains no horse. Then do the same for the mother who said 'nutritious food' — one sentence, containing no food.

3. **Maggi lost a public argument about nutrition in 2015, went to zero national sales, and was back to majority share in about eighteen months.** Name what brought those households back. Be specific: 'brand loyalty' is not an answer, it is a label for the thing we are trying to explain.

4. **Bring one real purchase of your own.** Something you bought in the last month, over ₹200, when a cheaper option was sitting on the same shelf and would have done the same physical job. Write down what you paid, what you did not buy, and the reason you would give a stranger who asked. We will be working on your example in class, so pick one you are willing to be asked about.

5. **Now argue against this case.** Fogg found out that men were anxious about smelling bad, and then built a business by selling reassurance to anxious people. Surf Excel found out that mothers felt guilty, and sold them relief from the guilt. Is there a line here that a company should not cross — and if so, where is it? Come with a position.

Come with your five answers and one genuine disagreement. If some part of this case struck you as wrong, exaggerated, or unfair to the customers being described, that is worth saying out loud — those are usually the most useful ten minutes of the class.